

Taiyo Yuden (6976)

Rating: Buy

Price Objective ¥6,000

4Q results: First major opportunity in five years, scope for significant growth

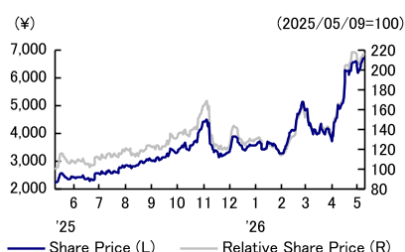
Share price (8 May)	¥6,663
Implied upside	-10%
TSE Segment	Prime

Major indicators (E = Mizuho estimates)

Market capitalization (¥b)	867.65
Shares outstanding (m)	130.22
Potential share dilution (m)	11.47
Daily turnover (thou. mo. avg.)	3,444.85
Foreign ownership (% , 3/25)	26.6
DPS(¥, 3/27E)	90.0
Dividend Yield(% , 3/27E)	1.4
Payout ratio(% , 3/27E)	38.2
Equity ratio(% , 3/27E)	57.2
BPS(¥, 3/27E)	2,889.5
PBR(x, 3/27E)	2.3
ROE(% , 3/27E NP basis)	9.2
ROA(% , 3/27E RP basis)	6.9

Note: No. of shares includes treasury stock

Absolute and TOPIX-relative share price

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Results comment

Taiyo Yuden announced FY3/26 results and its medium-term plan after the market close on 8 May. The company held a results briefing at 4:00pm JST (see [results materials](#), [medium-term plan materials](#)). The details revealed suggest prospects for MLCC earnings growth, leaving us with a positive impression. We believe that leverage effects will accelerate changes in profit as supply-demand conditions improve (reaffirming our previous view). If FY3/27 guidance is viewed as underwhelming, leading to a negative share price reaction in the near term, we would see this as a re-rating opportunity. We plan to revisit assumptions such as our earnings forecasts and price objective after company contact and further research.

The following three reasons underpin our view. 1) Clear acceleration in MLCC orders. Jan–Mar orders increased 26% QoQ on contributions from IT infrastructure (e.g., AI servers, switches, and routers) and smartphone applications. The BB ratio came to 1.31x, which points to an improvement in supply-demand conditions. 2) There were indications of similar momentum in MLCC as at Murata Mfg., with no signs of any deterioration in industry position. In Jan–Mar, QoQ order growth came in at 26% for Taiyo Yuden (versus 23% for Murata Mfg.). QoQ sales growth was 4% (1%). The company projects FY3/27 sales growth of 12% YoY (13%; both firms assume a forex rate of ¥150/\$). Server-related sales are seen rising by about 80% in FY3/27 (85%–90%). 3) While FY3/26 results and FY3/27 guidance appear a little underwhelming, they may be even or stronger than our forecasts in real terms. The deviation between FY3/26 results and our forecasts was mainly attributable to sluggish 4Q utilization due to one-time factors. When excluding these items, underlying results were broadly as expected. The deviation between FY3/27 guidance and our outlook primarily reflects differences in forex assumptions (the company factors in ¥150/\$, while we assume ¥160/\$; its assumption implies a ¥9b drag on OP) and the risk of cost inflation due to the conflict in Iran (the company's outlook reflects an impact of about ¥5b–¥10b). Guidance does not appear to fully reflect easing price pressures stemming from improved supply-demand conditions. We see management's assumptions as conservative, thus leaving room for upside.

Consolidated results and forecasts				Share Price: ¥6,663 (8 May)					52wks: H ¥6,710 L ¥2,174.5			
Term		Sales (¥m)	YoY (%)	OP (¥m)	YoY (%)	RP (¥m)	YoY (%)	NP (¥m)	YoY (%)	EPS (¥)	PER (x)	EV/EBITDA (x)
FY3/25		341,438	5.8	10,459	15.2	10,517	-23.6	2,328	-72.0	16.1	—	—
FY3/26	Actual	355,341	4.1	19,996	91.2	24,129	129.4	14,806	536.0	107.6	—	—
	CE Old	354,000	3.7	21,000	100.8	22,000	109.2	13,000	458.4	104.0	—	—
	E Old	355,600	4.1	22,000	110.3	25,000	137.7	14,000	501.4	102.5	—	—
FY3/27	CE New	384,000	8.1	30,000	50.0	27,000	11.9	18,000	21.6	131.9	50.5	—
	E	384,000	8.1	44,000	120.0	43,000	78.2	32,200	117.5	235.9	28.2	9.9
	Consensus	379,080	—	35,700	—	36,100	—	25,275	—	209.9	—	—
FY3/28	E	414,300	7.9	60,000	36.4	59,000	37.2	44,200	37.3	323.8	20.6	8.3
	Consensus	406,990	—	46,400	—	46,724	—	32,789	—	281.8	—	—
FY3/25	4Q	86,714	7.3	2,057	1.0	-3,168	—	-5,838	—	—	—	—
FY3/26	4Q	89,202	2.9	3,477	69.0	4,329	—	2,180	—	—	—	—

Notes: E = Mizuho Securities estimates, CE = Company estimates. Source: IFIS (07 May, 11 companies). If there are fewer than five brokers reporting, no consensus is displayed.

*Consensus forecasts may not appear if the company has recently revised its earnings forecasts or announced its results. If the company has not disclosed its EPS forecast, we have calculated an EPS forecast using the company's NP forecast and our own forecast for the number of shares outstanding. EPS = Diluted.

Please refer to pages 2 - 3 of this report for important disclosure and analyst certification information.

Mizuho Securities Co., Ltd.

Companies Mentioned in this Report

Code	Company Name	Rating	Share price 5/8
6981	Murata Mfg.	Buy	¥5,850

Note: NR = Not Rated

Source: Mizuho Securities Equity Research

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